

“When you’re lending, you have to be very conscious of risk”

V. Vaidyanathan, MD & CEO of IDFC First Bank, on how the perception about making money has changed in India, Digital India, and more

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For V. Vaidyanathan, MD & CEO of IDFC First Bank, India is a good place to be. The financial services veteran, who started out as a banker, then turned entrepreneur, and now leads the bank formed as a result of the merger between his NBFC Capital First and IDFC Bank, tells the audience at the BT500 Wealth Creators Summit that like the American Dream, soon there will be an Indian Dream. In a chat with *Business Today's* Sourav Majumdar, he talks about infra financing, MSMEs, and the need for more banks. Edited excerpts:

Q: Tell us about the economy when you were starting off as a banker, and the changes you see as an entrepreneur banker right now?

A: If you go back a little in time, the villains of Indian movies in the '90s, '80s, etc... Pran, Prem Chopra, Danny

[Denzongpa]... were all businessmen... Now, nobody portrays businesspeople as [villains]. Now, entrepreneurship is accepted... it is seen as a source of employment creation—at least in the way the government speaks these days... people recognise that they pay taxes and they grow the economy. So, there has been a massive shift of the lens through which we see entrepreneurship in a positive way. It is the biggest thing that has happened in the past few years.

Q: Earlier, people used to frown upon people who used to make money...

A: Profit is not a bad word and... good quality, global scale corporations are getting created, which is a very big thing because India was a bunch of small scale industries [earlier]; no company had a market cap of more than ₹1,000-2,000 crore, maybe 20-30 years ago. Suddenly we have a market cap of ₹5 lakh crore, ₹10 lakh crore. And governance is [now] a big deal... The number of people participating in the process of getting wealth in the form of stock options, etc., has [also] dramatically changed... these things have dramatically changed India—governance, quality of leadership, quality of infrastructure—these things are adding value.

Q: Earlier, infrastructure became a sector that people used to run away from... Today, infrastructure is being created at a rapid pace, and banks and institutions are rushing to fund it. How do you see this playing out?

A: Even our bank was set up to finance infrastructure; it was called IDFC—Infrastructure Development Finance Corporation. It just so happened that in India, there was a window from about late-2000, going up to maybe 2017... when it wouldn't be clear to people that